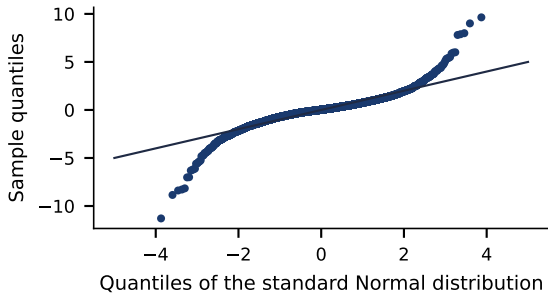
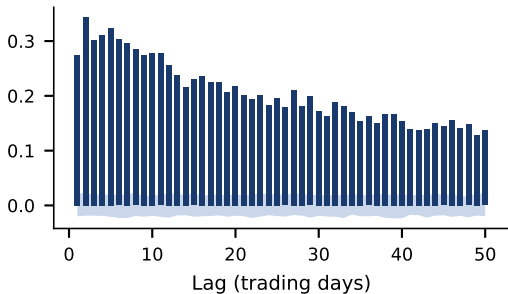


Tails: returns are not Normal



- S&P 500 daily log returns, standardised
- 45-degree line (Normal distribution)

Clustering: $|r|$ is autocorrelated



- GBM: 95% range of 200 simulations
- S&P 500: ACF of $|r|$